FIIB
Enter to Learn, Leave to Succeed

CORPORATE FINANCE [FIN14]

INDIAN AUTOMOBILE INDUSTRY

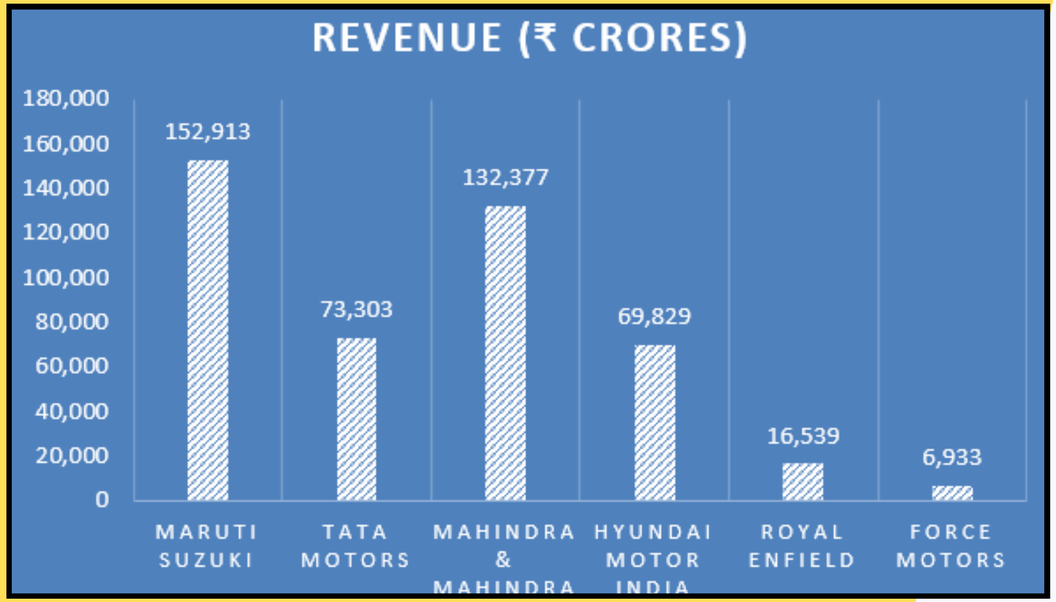
FY 2024 COMPARATIVE FINANCIAL ANALYSIS

MARUTI SUZUKI · TATA MOTORS · MAHINDRA & MAHINDRA · HYUNDAI MOTOR INDIA · ROYAL ENFIELD · FORCE MOTORS



LEARNING TEAM 1

ABOUT THE COMPANIES



Maruti Suzuki — India's largest carmaker with 40%+ market share, known for affordable mass-market vehicles.

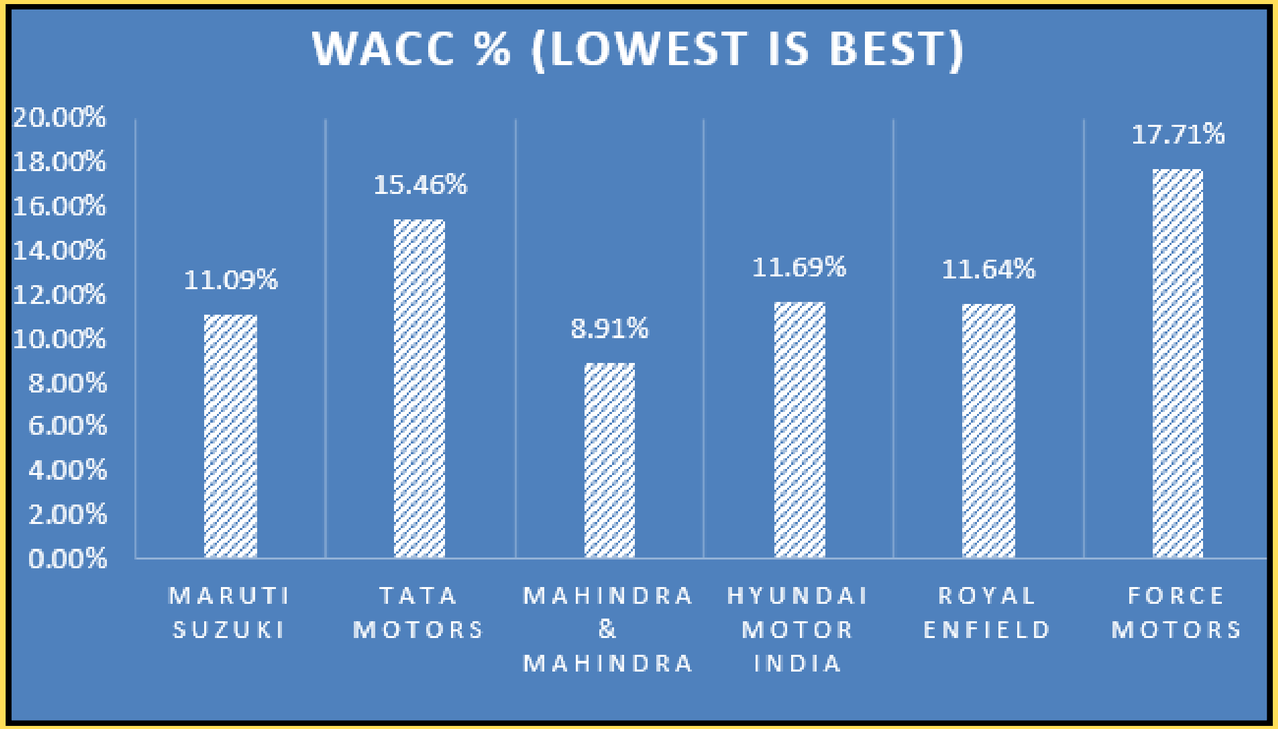
Tata Motors — India's only full-range vehicle company covering cars, trucks, EVs and luxury brand Jaguar Land Rover.

Mahindra & Mahindra — India's SUV and tractor king, dominating utility vehicles with Scorpio, Thar and XUV series.

Hyundai Motor India — India's second largest carmaker, offering premium feature-rich cars, SUVs and electric vehicles.

Royal Enfield — World's oldest motorcycle brand in continuous production, owning the premium mid-size bike segment in India.

Force Motors — Pune-based niche manufacturer of light commercial vehicles, also producing engines for BMW and Mercedes-Benz.



$$WACC = WE \times KE + WD \times KD(1-T)$$

🏆 Mahindra & Mahindra Mostly funded by shareholders (98%) · Very stable stock (Beta 0.31) · Cheapest to fund at 8.91%

Maruti Suzuki Almost zero debt (99.97% equity) · Moderate market risk (Beta 0.95) · Cost of capital 11.09%

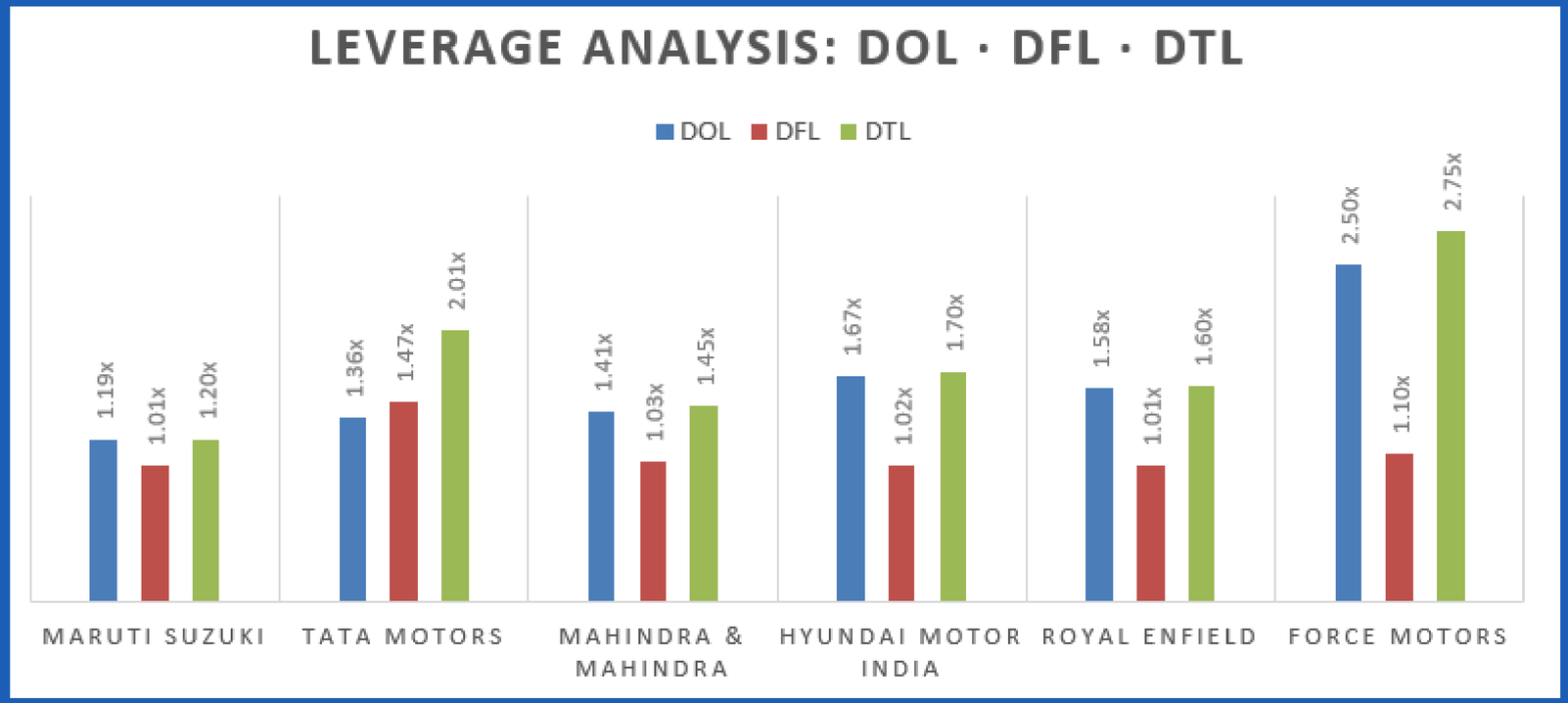
Hyundai Motor India Nearly debt-free (99.4% equity) · Low market risk (Beta 0.85) · Cost of capital 11.69%

Royal Enfield Practically no debt (99.6% equity) · Low market risk (Beta 0.82) · Cost of capital 11.64%

Tata Motors Some debt (4.8%) · High market sensitivity (Beta 1.35) · Most expensive among large OEMs at 15.46%

⚠️ Force Motors Almost no debt but very volatile stock (Beta 1.70) · Highest funding cost at 17.71%

LEVERAGE ANALYSIS



All companies except Tata Motors and Force Motors have DFL near 1.0x confirming the Indian auto sector is conservatively financed. Force Motors has the highest combined risk (DTL 2.75x) due to high fixed costs. Maruti is the safest at 1.20x DTL.

KEY INSIGHTS & RECOMMENDATION

Mahindra & Mahindra Lowest WACC of 8.91%, EBIT margin of 20.3%, and Beta of just 0.31 — low debt, low risk, high profit. Best pick overall.

Maruti Suzuki India's largest at ₹1.53 lakh Cr revenue, near-zero debt (D/V: 0.03%), and safest leverage (DTL: 1.20x) stable and reliable but 16.6% EBIT margin has room to grow.

Tata Motors Was loss-making in FY2021-22, now earning ₹11,574 Cr EBIT with 15.8% margin. Debt down 26% to ₹14,190 Cr fastest turnaround in the group.

Hyundai Motor India ₹69,829 Cr revenue, DFL of just 1.02x and near-zero debt but highest DOL of 1.67x means a 1% revenue drop hits EBIT by 1.67%.

Royal Enfield Only ₹16,539 Cr revenue but leads the group with 29.87% EBIT margin earns ₹30 on every ₹100 of sales. Debt-free with DTL of just 1.60x.

Force Motors Highest risk WACC 17.71%, Beta 1.70, DTL 2.75x. But EBIT grew 85% in FY2025 on ₹6,933 Cr revenue. Makes engines for BMW and Mercedes niche but powerful.